

Lenovo Group (992 HK)

Buy: Results beat; server profitability further improved

- ◆ 1QFY27 OP margin beat due to strong cost-control
- ◆ Servers generated another record-high operating profit
- ◆ Retain Buy; raise TP to HKD48.20 (from HKD18.90), implying c38% upside

1QFY27 (June-Q) strong beat: Revenue of USD22bn, +4% q-o-q and +19% y-o-y, was in line with HSBCe/consensus. GPM of 19.9% came in 358bps/396bps above HSBCe/consensus. Adjusted OPM of 6.8% came in 256bps/403bps above HSBCe/consensus. Pretax income of USD1.3bn beat HSBCe/consensus by 74%/118%. Adjusted EPS of USD8.66 cents beat HSBCe/consensus by 76%/141%.

PC YoY growth should outperform industry in CY2H26 with stable profitability:

Lenovo's IDG (PC/smartphone/tablet) revenue grew 27% y-o-y to USD17.1bn, with OPM at 7.1% (flat y-o-y) and positioned it as industry-leading as the business held profitability while growing. For FY27, management expects IDG run rate to be in the mid-teens y-o-y, implying flatter growth into 2HFY27, due to a double-digit y-o-y PC unit decline in 2HFY27, offset by an ASP increase. Lenovo continues to expect IDG's margin to remain at a similar level going forward due to a further shift to high-end products. The company sees commercial demand as more resilient than consumer demand thanks to improved premium/AI PC mix and faster cost pass-through amid ongoing memory tightness. The long-term driver remains the AI PC adoption cycle, supported by share gains in Commercial and high-end products. Thus, we believe that Lenovo's PC segment margin will remain at an escalated level due to the flexibility of its product portfolio.

Servers/ISG accelerates, with record pipeline and margins: ISG (servers/storage) delivered record revenue of USD8.5bn (+98% y-o-y) and operating profit of USD777m, with OPM at 9.1%. Growth was broad-based, with both CSP and Enterprise/SMB revenues nearly doubling y-o-y, reinforcing the "dual engine" thesis rather than a one-off mix benefit. Management cited record-high AI server pipeline/order book of USD54bn (+157% q-o-q) and highlighted strong demand across B200/B300/GB300 platforms alongside capacity expansion, underpinning confidence in sustained server momentum. We believe that the margin outperformance is supported by strong customer demand and a favourable customer mix vs other server brand/ODM peers.

Retain Buy rating; raise TP to HKD48.20 (from HKD18.90): We raise our FY27/FY28e adjusted EPS forecasts by c127%/c87% to reflect the robust OPM outlook from ISG and resilient OPM from PC. We roll over our valuation base to FY28e EPS of HKD3.44 (from FY27e EPS of HKD1.58). Our FY28e EPS estimate is c69% above consensus. We raise our target PE multiple to 14x (based on 1.5SD above the 2018-22 average), from 12x. Our TP implies c38% upside and we maintain our Buy rating.

Equities Computers & Peripherals

China



MAINTAIN BUY

TARGET PRICE (HKD)

48.20

PREVIOUS TARGET (HKD)

18.90

SHARE PRICE (HKD)

34.90

(as of 13 Aug 2026)

UPSIDE/DOWNSIDE

+38.1%

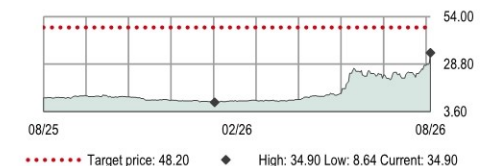
MARKET DATA

Market cap (HKDm)	432,922	Free float	56%
Market cap (USDm)	55,170	BBG	992 HK
3m ADTV (USDm)	475	RIC	0992.HK

FINANCIALS AND RATIOS (USD)

Year to	03/2026a	03/2027e	03/2028e	03/2029e
HSBC EPS	0.17	0.46	0.44	0.51
HSBC EPS (prev)	0.17	0.20	0.24	na
Change (%)	1.5	126.9	86.6	na
Consensus EPS	0.13	0.18	0.26	0.32
PE (x)	26.5	9.7	10.1	8.7
Dividend yield (%)	1.1	1.1	1.1	1.1
EV/EBITDA (x)	10.3	6.1	4.5	3.5
ROE (%)	30.4	61.3	41.1	34.5

52-WEEK PRICE (HKD)



Source: LSEG IBES, HSBC estimates

Carol Juan*

Analyst, Technology

HSBC Securities (Taiwan) Corporation Limited

carol.cc.juan@hsbc.com.tw

+886 2 6631 2862

Lorraine Ou*

Research Associate

HSBC Securities (Taiwan) Corporation Limited

lorraine.yt.ou@hsbc.com.tw

+886 2 6631 2867

* Employed by a non-US affiliate of HSBC Securities (USA) Inc, and is not registered/qualified pursuant to FINRA regulations

HSBC 13th Annual China Conference

Shenzhen | 1-2 September 2026

Find out more

Disclosures & Disclaimer

This report must be read with the disclosures and the analyst certifications in the Disclosure appendix, and with the Disclaimer, which forms part of it.

Issuer of report: HSBC Securities (Taiwan) Corporation Limited

View HSBC Global Investment Research at:

<https://www.research.hsbc.com>

Financials & valuation: Lenovo Group

Buy

Financial statements

Year to	03/2026a	03/2027e	03/2028e	03/2029e
Profit & loss summary (USDm)				
Revenue	83,075	108,375	117,048	131,381
EBITDA	4,680	7,408	9,261	10,369
Depreciation & amortisation	-1,418	-1,436	-1,503	-1,544
Operating profit/EBIT	3,262	5,972	7,758	8,825
Net interest	-577	-595	-499	-408
PBT	2,670	5,338	7,042	8,224
HSBC PBT	2,670	5,338	7,042	8,224
Taxation	-510	-1,201	-1,584	-1,850
Net profit	1,912	3,916	5,337	6,254
HSBC net profit	2,083	5,689	5,457	6,374
Cash flow summary (USDm)				
Cash flow from operations	4,024	4,781	5,730	7,348
Capex	-1,262	-1,262	-1,262	-1,262
Cash flow from investment	-1,813	-1,262	-1,262	-1,262
Dividends	-618	-620	-620	-620
Change in net debt	-907	-2,899	-3,848	-5,466
FCF equity	2,762	3,519	4,468	6,086
Balance sheet summary (USDm)				
Intangible fixed assets	8,570	7,786	7,073	6,425
Tangible fixed assets	2,870	3,480	3,952	4,317
Current assets	39,202	44,505	53,140	60,756
Cash & others	5,062	7,961	11,808	17,275
Total assets	57,129	62,241	70,616	77,933
Operating liabilities	43,944	45,540	49,078	50,641
Gross debt	4,741	4,741	4,741	4,741
Net debt	-321	-3,220	-7,067	-12,534
Shareholders' funds	7,635	10,931	15,647	21,281
Invested capital	1,635	2,271	3,277	3,582

Ratio, growth and per share analysis

Year to	03/2026a	03/2027e	03/2028e	03/2029e
Y-o-y % change				
Revenue	20.3	30.5	8.0	12.2
EBITDA	30.6	58.3	25.0	12.0
Operating profit	50.7	83.1	29.9	13.7
PBT	80.3	99.9	31.9	16.8
HSBC EPS	44.6	173.1	-4.1	16.8
Ratios (%)				
Revenue/IC (x)	45.0	55.5	42.2	38.3
ROIC	143.1	237.0	216.7	199.4
ROE	30.4	61.3	41.1	34.5
ROA	5.4	7.8	9.0	9.3
EBITDA margin	5.6	6.8	7.9	7.9
Operating profit margin	3.9	5.5	6.6	6.7
EBITDA/net interest (x)	8.1	12.4	18.5	25.4
Net debt/equity	-3.8	-26.9	-42.1	-55.6
Net debt/EBITDA (x)	-0.1	-0.4	-0.8	-1.2
Per share data (USD)				
EPS Rep (diluted)	0.15	0.32	0.43	0.50
HSBC EPS (adjusted)	0.17	0.46	0.44	0.51
DPS	0.05	0.05	0.05	0.05
Book value	0.62	0.88	1.26	1.72

Valuation data

Year to	03/2026a	03/2027e	03/2028e	03/2029e
EV/sales	0.6	0.4	0.4	0.3
EV/EBITDA	10.3	6.1	4.5	3.5
EV/IC	29.6	20.0	12.7	10.1
PE*	26.5	9.7	10.1	8.7
PB	7.2	5.0	3.5	2.6
FCF yield (%)	5.0	6.4	8.1	11.0
Dividend yield (%)	1.1	1.1	1.1	1.1

* Based on HSBC EPS (diluted)

ESG metrics

Environmental Indicators	03/2025a	Governance Indicators	03/2026a
GHG emission intensity*	n/a	No. of board members	11
Energy intensity*	n/a	Average board tenure (years)	n/a
CO ₂ reduction policy	Yes	Female board members (%)	18.2
Social Indicators		Board members independence (%)	72.7
Employee costs as % of revenues	n/a		
Employee turnover (%)	n/a		
Diversity policy	Yes		

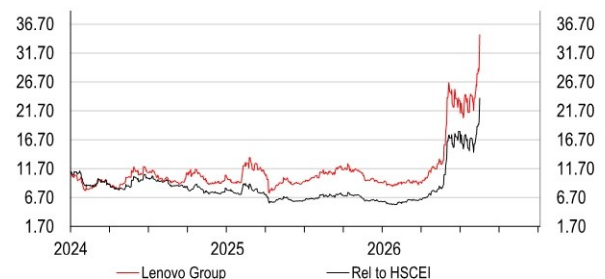
Source: Company data, HSBC

* GHG intensity and energy intensity are measured in kg and kWh respectively against revenue in USD '000s

Issuer information

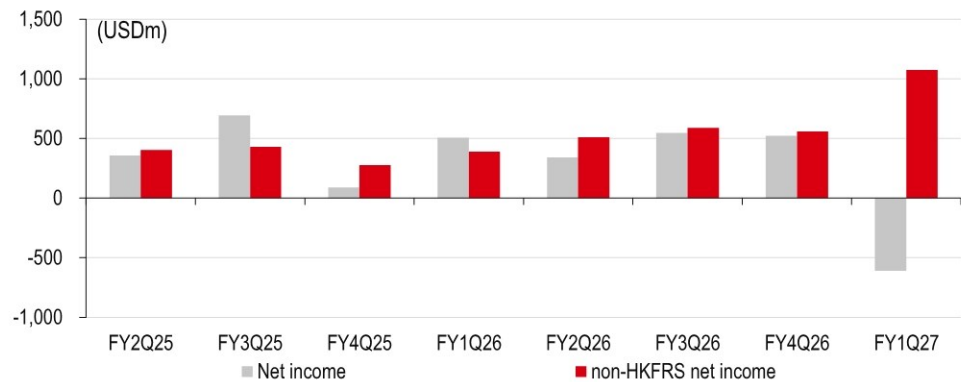
Share price (HKD)	34.90	Free float	56%
Target price (HKD)	48.20	Sector	Computers & Peripherals
RIC (Equity)	0992.HK	Country/Region	China
Bloomberg (Equity)	992 HK	Analyst	Carol Juan
Market cap (USDm)	55,170	Contact	+86 2 6631 2862

Price relative



Source: HSBC

Note: Priced at close of 13 Aug 2026

Exhibit 1. Lenovo – comparison between reported NI and non-HKFRS NI


Source: Company data, HSBC

The USD2bn convertible bond and USD212m worth of warrants issued in January 2025 will continue to have a material impact on Lenovo's quarterly income statement as "notional interest" and "fair value gains/losses on derivatives financial liabilities relating to warrants" over the next three years. As a result, we believe it would be appropriate to value Lenovo using **non-HKFRS EPS** as it better reflects Lenovo's operating performance.

Financials

Exhibit 2. Lenovo non-HKFRS 1QFY27 results comparison

(USDm)	1QFY27			Consensus	HSBCe	% difference	
	Actual	q-o-q	y-o-y			vs Cons	vs HSBCe
Sales	26,956	24.9%	43.2%	22,418	22,340	20.2%	20.7%
Gross profit	4,452	25.8%	60.5%	3,580	3,652	24.4%	21.9%
GM	16.5%	12bps	178bps	16.0%	16.3%	55bps	17bps
Op profit	1,523	82.5%	141.3%	625	952	143.6%	60.0%
OPM	5.6%	178bps	230bps	2.8%	4.3%	286bps	139bps
Net profit	1,075	92.3%	176.3%	432	611	149.0%	75.8%
EPS (USD cents)	8.66	92.3%	176.3%	3.60	4.93	140.7%	75.8%

Source: Company data, HSBC estimates, Bloomberg consensus

Exhibit 3. Estimate revisions and consensus comparison for FY27-29e; we introduce FY29 estimates

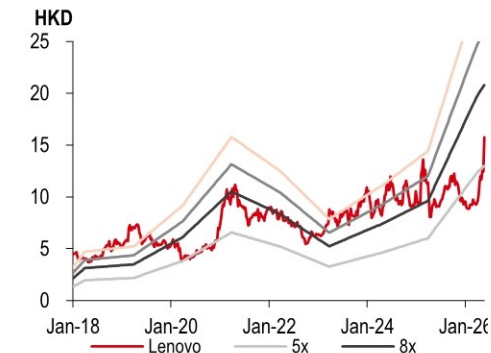
(USDm)	New			Old			Change			HSBCe vs Consensus			Consensus		
	FY27e	FY28e	FY29e	FY27e	FY28e	FY29e	FY27e	FY28e	FY29e	FY27e	FY28e	FY29e	FY27e	FY28e	FY29e
Sales	108,375	117,048	131,381	93,328	100,319	-	16%	17%	-	14%	9%	11%	94,836	106,900	118,329
- y-o-y	30.5%	8.0%	12.2%	12.3%	7.5%	-									
Gross profit	18,536	19,698	22,104	15,143	16,261	-	22%	21%	-	23%	15%	15%	15,060	17,061	19,247
- GM	17.1%	16.8%	16.8%	16.2%	16.2%	-							15.9%	16.0%	16.3%
Operating profit	5,972	7,758	8,825	3,879	4,398	-	54%	76%	-	56%	54%	49%	3,833	5,036	5,912
- OPM	5.5%	6.6%	6.7%	4.2%	4.4%	-							4.0%	4.7%	5.0%
Net income	3,916	5,337	6,254	2,395	2,812	-	63%	90%	-	68%	60%	54%	2,324	3,328	4,048
EPS (US cents)	31.57	43.03	50.41	19.31	22.67	-	63%	90%	-	62%	69%	66%	19.50	25.40	30.30
- y-o-y	104.8%	36.3%	17.2%	25.3%	17.4%	-									
Adj. EPS (US cents)	45.87	43.99	51.38	20.21	23.57	-	127%	87%	-	135%	73%	70%	19.50	25.40	30.30
- y-o-y chg.	173.1%	-4.1%	16.8%	20.4%	16.6%	-									
Adj. EPS (HKD)	3.59	3.44	4.02	1.58	1.84	-	128%	87%	-						
- y-o-y chg.	173.1%	-4.1%	16.8%	19.9%	16.6%	-									

Source: Bloomberg, HSBC estimates

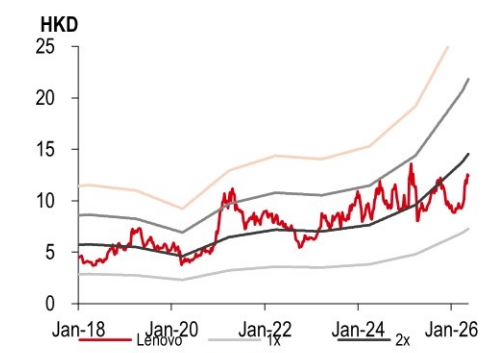
Exhibit 4. Lenovo – quarterly and annual financials

(USDm)	FY27e				FY28e				FY27e	FY28e
	1QFY27	2QFY27e	3QFY27e	4QFY27e	1QFY28e	2QFY28e	3QFY28e	4QFY28e		
P&L										
Net sales	26,956	27,771	29,136	24,513	27,746	29,329	30,731	29,242	108,375	117,048
Gross profit	4,452	4,758	5,089	4,237	4,620	4,958	5,215	4,906	18,536	19,698
Opex	4,433	2,796	2,892	2,443	2,811	2,973	3,178	2,977	12,564	11,940
Operating income	19	1,963	2,196	1,794	1,809	1,985	2,036	1,928	5,972	7,758
Non-op income	-174	-162	-147	-151	-188	-184	-172	-174	-634	-717
Pretax income	-155	1,801	2,049	1,643	1,621	1,801	1,865	1,755	5,338	7,042
Taxes	323	342	389	147	308	342	354	580	1,201	1,584
Net income	-609	1,429	1,630	1,466	1,283	1,429	1,481	1,145	3,916	5,337
EPS (US cent)	-4.91	11.52	13.14	11.82	10.34	11.52	11.94	9.23	31.57	43.03
Profitability										
Gross margin	16.5%	17.1%	17.5%	17.3%	16.7%	16.9%	17.0%	16.8%	17.1%	16.8%
Opex/NS	16.4%	10.1%	9.9%	10.0%	10.1%	10.1%	10.3%	10.2%	11.6%	10.2%
Operating margin	0.1%	7.1%	7.5%	7.3%	6.5%	6.8%	6.6%	6.6%	5.5%	6.6%
Pretax margin	-0.6%	6.5%	7.0%	6.7%	5.8%	6.1%	6.1%	6.0%	4.9%	6.0%
Tax rate	-207.6%	19.0%	19.0%	8.9%	19.0%	19.0%	19.0%	33.0%	22.5%	22.5%
Net margin	-2.3%	5.1%	5.6%	6.0%	4.6%	4.9%	4.8%	3.9%	3.6%	4.6%
Q-o-Q growth										
Net sales	24.9%	3.0%	4.9%	-15.9%	13.2%	5.7%	4.8%	-4.8%	--	--
Net income	-216.9%	-334.6%	14.0%	-10.0%	-12.5%	11.4%	3.6%	-22.7%	--	--
EPS (US cent)	-216.9%	-334.6%	14.0%	-10.0%	-12.5%	11.4%	3.6%	-22.7%	--	--
Y-o-Y growth										
Net sales	43.2%	35.8%	31.2%	13.5%	2.9%	5.6%	5.5%	19.3%	30.5%	8.0%
Net income	-220.5%	319.9%	198.7%	181.5%	-310.6%	0.0%	-9.1%	-21.9%	104.8%	36.3%
EPS	-220.5%	319.9%	198.7%	181.5%	-310.6%	0.0%	-9.1%	-21.9%	104.8%	36.3%

Source: Company data, HSBC estimates

Exhibit 5. Lenovo – forward PE band


Source: Company data, Bloomberg, HSBC estimates

Exhibit 6. Lenovo – forward PB band


Source: Company data, Bloomberg, HSBC estimates

Valuation and risks

Valuation		Risks to our view
Lenovo 992 HK Buy	Current price: HKD34.90	Downside risks: (1) Rising losses in the server business; (2) slower recovery in PC demand; and (3) slower GPU server ramp-up.
	Target price: HKD48.20	
	Up/downside: +38.1%	
We raise our FY27/FY28e adjusted EPS forecasts by c127%/c87% to reflect the robust OPM outlook from ISG and resilient OPM from PC. We roll over our valuation base to FY28e EPS of HKD3.44 (from FY27e EPS of HKD1.58). Our FY28e EPS estimate is c69% above consensus. We raise our target PE multiple to 14x (based on 1.5SD above the 2018-22 average), from 12.0x (based on 1SD above the 2018-23 average). We view the target PE justified as our revised FY26-28e non-HKFRS earnings CAGR of 41% is higher than the 2018-22 CAGR of 28%. Our TP of HKD48.20 implies c38% upside and we maintain our Buy rating. RMB counter: Our target price for the HK-listed share class 80992 HK (CMP RMB30.00) is raised to RMB41.20 (from RMB16.15), as we apply our FX team's end-2026 forecast for RMB-HKD of 1.17 to our target price for the primary shares.		

Priced at close of 13 Aug 2026
 Source: HSBC estimates

Disclosure appendix

Analyst Certification

The following analyst(s), economist(s), or strategist(s) who is(are) primarily responsible for this report, including any analyst(s) whose name(s) appear(s) as author of an individual section or sections of the report and any analyst(s) named as the covering analyst(s) of a subsidiary company in a sum-of-the-parts valuation certifies(y) that the opinion(s) on the subject security(ies) or issuer(s), any views or forecasts expressed in the section(s) of which such individual(s) is(are) named as author(s), and any other views or forecasts expressed herein, including any views expressed on the back page of the research report, accurately reflect their personal view(s) and that no part of their compensation was, is or will be directly or indirectly related to the specific recommendation(s) or views contained in this research report: Carol Juan and Lorraine Ou

Important disclosures

Equities: Stock ratings and basis for financial analysis

HSBC and its affiliates, including the issuer of this report ("HSBC") believes an investor's decision to buy or sell a stock should depend on individual circumstances such as the investor's existing holdings, risk tolerance and other considerations and that investors utilise various disciplines and investment horizons when making investment decisions. Ratings should not be used or relied on in isolation as investment advice. Different securities firms use a variety of ratings terms as well as different rating systems to describe their recommendations and therefore investors should carefully read the definitions of the ratings used in each research report. Further, investors should carefully read the entire research report and not infer its contents from the rating because research reports contain more complete information concerning the analysts' views and the basis for the rating.

HSBC assigns ratings on the following basis:

The target price is based on the analyst's assessment of the stock's actual current value, although we expect it to take six to 12 months for the market price to reflect this. When the target price is more than 20% above the current share price, the stock will be classified as a Buy; when it is between 5% and 20% above the current share price, the stock may be classified as a Buy or a Hold; when it is between 5% below and 5% above the current share price, the stock will be classified as a Hold; when it is between 5% and 20% below the current share price, the stock may be classified as a Hold or a Reduce; and when it is more than 20% below the current share price, the stock will be classified as a Reduce.

Our ratings are re-calibrated against these bands at the time of any 'material change' (initiation or resumption of coverage, change in target price or estimates).

Upside/Downside is the percentage difference between the target price and the share price.

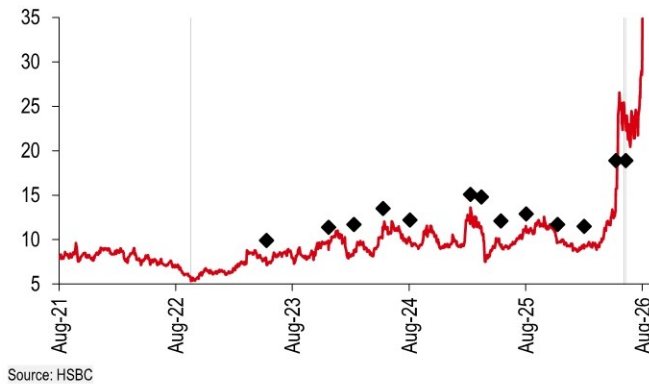
Rating distribution for long-term investment opportunities

As of 30 June 2026, the distribution of all independent ratings published by HSBC is as follows:

Buy	61%	(13% of these provided with Investment Banking Services in the past 12 months)
Hold	34%	(10% of these provided with Investment Banking Services in the past 12 months)
Sell	5%	(8% of these provided with Investment Banking Services in the past 12 months)

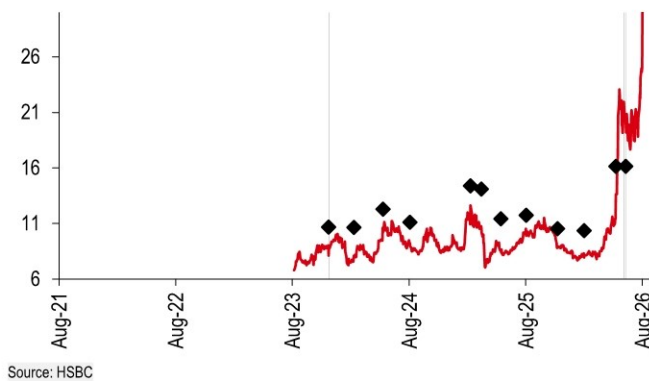
For the purposes of the distribution above the following mapping structure is used during the transition from the previous to current rating models: under our previous model, Overweight = Buy, Neutral = Hold and Underweight = Sell; under our current model Buy = Buy, Hold = Hold and Reduce = Sell. For rating definitions under both models, please see "Stock ratings and basis for financial analysis" above.

For the distribution of non-independent ratings published by HSBC, please see the disclosure page available at <http://www.hsbcnet.com/gbm/financial-regulation/investment-recommendations-disclosures>.

Share price and rating changes for long-term investment opportunities
**Lenovo Group (0992.HK) share price performance HKD
Vs HSBC rating history**

Rating & target price history

From	To	Date	Analyst
Restricted	Buy	28 Sep 2022	Carol Juan
Buy	Restricted	17 Jun 2026	
Restricted	Buy	22 Jun 2026	Carol Juan
Target price	Value	Date	Analyst
Price 1	9.90	24 May 2023	Carol Juan
Price 2	11.40	05 Dec 2023	Carol Juan
Price 3	11.70	22 Feb 2024	Carol Juan
Price 4	13.50	23 May 2024	Carol Juan
Price 5	12.20	15 Aug 2024	Carol Juan
Price 6	15.10	21 Feb 2025	Carol Juan
Price 7	14.80	27 Mar 2025	Carol Juan
Price 8	12.10	27 May 2025	Carol Juan
Price 9	12.90	14 Aug 2025	Carol Juan
Price 10	11.70	20 Nov 2025	Carol Juan
Price 11	11.50	12 Feb 2026	Carol Juan
Price 12	18.90	22 May 2026	Carol Juan
Price 13	Restricted	17 Jun 2026	
Price 14	18.90	22 Jun 2026	Carol Juan

Source: HSBC

**Lenovo Group (80992 HK) share price performance CNY
Vs HSBC rating history**

Rating & target price history

From	To	Date	Analyst
N/A	Buy	05 Dec 2023	Carol Juan
Buy	Restricted	17 Jun 2026	
Restricted	Buy	22 Jun 2026	Carol Juan
Target price	Value	Date	Analyst
Price 1	10.67	05 Dec 2023	Carol Juan
Price 2	10.65	22 Feb 2024	Carol Juan
Price 3	12.29	23 May 2024	Carol Juan
Price 4	11.11	15 Aug 2024	Carol Juan
Price 5	14.38	21 Feb 2025	Carol Juan
Price 6	14.10	27 Mar 2025	Carol Juan
Price 7	11.42	27 May 2025	Carol Juan
Price 8	11.73	14 Aug 2025	Carol Juan
Price 9	10.54	20 Nov 2025	Carol Juan
Price 10	10.36	12 Feb 2026	Carol Juan
Price 11	16.15	22 May 2026	Carol Juan
Price 12	Restricted	17 Jun 2026	
Price 13	16.15	22 Jun 2026	Carol Juan

Source: HSBC

To view a list of all the independent fundamental ratings/recommendations disseminated by HSBC during the preceding 12-month period, and the location where we publish our quarterly distribution of non-fundamental recommendations (applicable to Fixed Income and Currencies research only), please use the following links to access the disclosure page:

Clients of HSBC Private Bank: www.research.privatebank.hsbc.com/Disclosures

All other clients: www.research.hsbc.com/A/Disclosures

HSBC & Analyst disclosures
Disclosure checklist

Company	Ticker	Recent price	Price date	Disclosure
LENOVO GROUP	0992.HK	34.90	13 Aug 2026	1, 4, 5, 6, 7, 11, 13

Source: HSBC

- HSBC has managed or co-managed a public offering of securities for this company within the past 12 months.
- HSBC expects to receive or intends to seek compensation for investment banking services from this company in the next 3 months.
- At the time of publication of this report, HSBC Securities (USA) Inc. is a Market Maker in securities issued by this company.

- 4 As of 31 July 2026, HSBC beneficially owned 1% or more of a class of common equity securities of this company.
- 5 This company was a client of HSBC or had during the preceding 12 month period been a client of and/or paid compensation to HSBC in respect of investment banking services.
- 6 This company was a client of HSBC or had during the preceding 12 month period been a client of and/or paid compensation to HSBC in respect of non-investment banking securities-related services.
- 7 This company was a client of HSBC or had during the preceding 12 month period been a client of and/or paid compensation to HSBC in respect of non-securities services.
- 8 A covering analyst/s has received compensation from this company in the past 12 months.
- 9 A covering analyst/s or a member of his/her household has a financial interest in the securities of this company, as detailed below.
- 10 A covering analyst/s or a member of his/her household is an officer, director or supervisory board member of this company, as detailed below.
- 11 At the time of publication of this report, HSBC is a non-US Market Maker in securities issued by this company and/or in securities in respect of this company.
- 12 As of 07 August 2026, HSBC beneficially held a net long position of more than 0.5% of this company's total issued share capital, calculated according to the SSR methodology.
- 13 As of 07 August 2026, HSBC beneficially held a net short position of more than 0.5% of this company's total issued share capital, calculated according to the SSR methodology.
- 14 HSBC Qianhai Securities Limited holds 1% or more of a class of common equity securities of this company.

HSBC and its affiliates will from time to time sell to and buy from customers the securities/instruments, both equity and debt (including derivatives) of companies covered in HSBC Research on a principal or agency basis or act as a market maker or liquidity provider in the securities/instruments mentioned in this report.

Analysts, economists, and strategists are paid in part by reference to the profitability of HSBC which includes investment banking, sales & trading, and principal trading revenues.

Whether, or in what time frame, an update of this analysis will be published is not determined in advance.

Non-U.S. analysts may not be associated persons of HSBC Securities (USA) Inc, and therefore may not be subject to FINRA Rule 2241 or FINRA Rule 2242 restrictions on communications with the subject company, public appearances and trading securities held by the analysts.

Economic sanctions laws imposed by certain jurisdictions such as the US, the EU, the UK, and others, may prohibit persons subject to those laws from making certain types of investments, including by transacting or dealing in securities of particular issuers, sectors, or regions. This report does not constitute advice in relation to any such laws and should not be construed as an inducement to transact in securities in breach of such laws.

For disclosures in respect of any company mentioned in this report, please see the most recently published report on that company available at www.hsbcnet.com/research. HSBC Private Bank clients should contact their Relationship Manager for queries regarding other research reports. In order to find out more about the proprietary models used to produce this report, please contact the authoring analyst.

HSBC may use Artificial Intelligence (AI) tools approved for adoption within HSBC in the development of its research reports, utilizing these technologies to analyse large volumes of data, enhance efficiency and improve the overall user experience. This includes but is not limited to paraphrasing, developing suitable captions and supporting data visualisation. It is important to note that while AI tools assist in various aspects of report creation, all investment recommendations and opinions presented herein are formulated and approved exclusively by our research analysts. The final content of the report reflects the professional judgement and expertise of our research analysts, ensuring compliance with regulatory standards and maintaining the integrity of our research process.

Additional disclosures

- 1 This report is dated as at 14 August 2026.
- 2 All market data included in this report are dated as at close 13 August 2026, unless a different date and/or a specific time of day is indicated in the report.
- 3 HSBC has procedures in place to identify and manage any potential conflicts of interest that arise in connection with its Research business. HSBC's analysts and its other staff who are involved in the preparation and dissemination of Research operate and have a management reporting line independent of HSBC's Investment Banking business. Information Barrier procedures are in place between the Investment Banking, Principal Trading, and Research businesses to ensure that any confidential and/or price sensitive information is handled in an appropriate manner.
- 4 You are not permitted to use, for reference, any data in this document for the purpose of (i) determining the interest payable, or other sums due, under loan agreements or under other financial contracts or instruments, (ii) determining the price at which a financial instrument may be bought or sold or traded or redeemed, or the value of a financial instrument, and/or (iii) measuring the performance of a financial instrument or of an investment fund.
- 5 As of 07 August 2026 HSBC owned a significant interest in the debt securities of the following company(ies): LENOVO GROUP

Production & distribution disclosures

1. This report was produced and signed off by the author on 13 Aug 2026 22:41 GMT.
2. In order to see when this report was first disseminated please see the disclosure page available at <https://www.research.hsbc.com/R/34/FbGGZwN>

Disclaimer

Legal entities as at 13 May 2026:

HSBC Bank plc; HSBC Continental Europe; HSBC Continental Europe SA, Germany; HSBC Bank Middle East Limited, DIFC; HSBC Bank Middle East Limited, Dubai branch; HSBC Yatirim Menkul Degerler AS, Istanbul; The Hongkong and Shanghai Banking Corporation Limited, Hong Kong; The Hongkong and Shanghai Banking Corporation Limited, Singapore Branch; The Hongkong and Shanghai Banking Corporation Limited, Seoul Securities Branch; The Hongkong and Shanghai Banking Corporation Limited, Seoul Branch; HSBC Qianhai Securities Limited; HSBC Securities (Taiwan) Corporation Limited; HSBC Securities and Capital Markets (India) Private Limited, Mumbai; HSBC Bank Australia Limited; HSBC Securities (USA) Inc., New York; HSBC México, SA, Institución de Banca Múltiple, Grupo Financiero HSBC; Banco HSBC SA

Issuer of report

HSBC Securities (Taiwan) Corporation Limited
54th Floor, 7 Xinyi Road, Sec. 5,
Xinyi District,
Taipei, Taiwan
Telephone: + 886 2 2722 8458
Fax: + 886 2 2722 2056
Website: www.research.hsbc.com

This document has been issued by HSBC Securities (Taiwan) Corporation Limited in the conduct of its Taiwan regulated business for the information of its institutional and professional customers. It is not intended for and should not be distributed to retail customers in Taiwan. This recommendation material is for reference only. Investors should carefully consider their own investment risk. Investment results are the responsibility of the individual investor. HSBC Securities (Taiwan) Corporation Limited is regulated by the Securities and Futures Bureau. All enquiries by recipients in Taiwan must be directed to your HSBC contact in Taiwan. If this report is received by a customer of an affiliate of HSBC, its provision to the recipient is subject to the terms of business in place between the recipient and such affiliate. This document is not and should not be construed as an offer to sell or the solicitation of an offer to purchase or subscribe for any investment. HSBC has based this document on information obtained from sources it believes to be reliable but which it has not independently verified; HSBC makes no guarantee, representation or warranty and accepts no responsibility or liability as to its accuracy or completeness. Expressions of opinion are those of the Research Division of HSBC only and are subject to change without notice. From time to time research analysts conduct site visits of covered issuers. HSBC policies prohibit research analysts from accepting payment or reimbursement for travel expenses from the issuer for such visits. HSBC and its affiliates and/or their officers, directors and employees may have positions in any securities mentioned in this document (or in any related investment) and may from time to time add to or dispose of any such securities (or investment). HSBC and its affiliates may act as market maker or have assumed an underwriting commitment in the securities of companies discussed in this document (or in related investments), may sell them to or buy them from customers on a principal basis and may also perform or seek to perform investment banking or underwriting services for or relating to those companies. HSBC Research may not be distributed to the public media or quoted or used by the public media without the express written consent of HSBC Securities (Taiwan) Corporation Limited. Reports written by Taiwan-based analysts on non-Taiwan listed companies are not considered recommendations to buy or sell securities under Taiwan Stock Exchange Operational Regulations governing securities firms recommending trades in securities to customers and as such HSBC Securities (Taiwan) Corporation Limited may not execute transactions for clients in these securities/instruments.

In the UK, this publication is distributed by HSBC Bank plc for the information of its Clients (as defined in the Rules of FCA) and those of its affiliates only. Nothing herein excludes or restricts any duty or liability to a customer which HSBC Bank plc has under the Financial Services and Markets Act 2000 or under the Rules of FCA and PRA. A recipient who chooses to deal with any person who is not a representative of HSBC Bank plc in the UK will not enjoy the protections afforded by the UK regulatory regime. HSBC Bank plc is regulated by the Financial Conduct Authority and the Prudential Regulation Authority.

In the European Economic Area, this publication has been distributed by HSBC Continental Europe or by such other HSBC affiliate from which the recipient receives relevant services.

In Japan, this publication has been distributed by HSBC Securities (Japan) Co., Ltd.. It may not be further distributed in whole or in part for any purpose. In Hong Kong, this document has been distributed by The Hongkong and Shanghai Banking Corporation Limited in the conduct of its Hong Kong regulated business for the information of its institutional and professional customers; it is not intended for and should not be distributed to retail customers in Hong Kong, unless permitted otherwise. In Korea, this publication is distributed by either The Hongkong and Shanghai Banking Corporation Limited, Seoul Securities Branch ("HBAP SLS") or The Hongkong and Shanghai Banking Corporation Limited, Seoul Branch ("HBAP SEL") for the general information of professional investors specified in Article 9 of the Financial Investment Services and Capital Markets Act ("FSCMA"). This publication is not a prospectus as defined in the FSCMA. It may not be further distributed in whole or in part for any purpose. Both HBAP SLS and HBAP SEL are regulated by the Financial Services Commission and the Financial Supervisory Service of Korea. In Singapore, this publication is distributed by The Hongkong and Shanghai Banking Corporation Limited, Singapore Branch for the general information of institutional investors or other persons specified in Sections 274 and 304 of the Securities and Futures Act 2001 of Singapore ("SFA") and accredited investors and other persons in accordance with the conditions specified in Sections 275 and 305 of the SFA. Only Economics or Currencies reports are intended for distribution to a person who is not an Accredited Investor, Expert Investor or Institutional Investor as defined in SFA. The Hongkong and Shanghai Banking Corporation Limited, Singapore Branch accepts legal responsibility for the contents of reports. This publication is not a prospectus as defined in the SFA. It may not be further distributed in whole or in part for any purpose. The Hongkong and Shanghai Banking Corporation Limited Singapore Branch is regulated by the Monetary Authority of Singapore. Recipients in Singapore should contact a "Hongkong and Shanghai Banking Corporation Limited, Singapore Branch" representative in respect of any matters arising from, or in connection with this report. Please refer to The Hongkong and Shanghai Banking Corporation Limited Singapore Branch's website at www.business.hsbc.com.sg for contact details. In Australia, this publication has been distributed by The Hongkong and Shanghai Banking Corporation Limited (ABN 65 117 925 970, AFSL 301737) for the general information of its "wholesale" customers (as defined in the Corporations Act 2001). Where distributed to retail customers, this research is distributed by HSBC Bank Australia Limited (ABN 48 006 434 162, AFSL No. 232595). These respective entities make no representations that the products or services mentioned in this document are available to persons in Australia or are necessarily suitable for any particular person or appropriate in accordance with local law. No consideration has been given to the particular investment objectives, financial situation or particular needs of any recipient.

HSBC Securities (USA) Inc. accepts responsibility for the content of this research report prepared by its non-US foreign affiliate. The information contained herein is under no circumstances to be construed as investment advice and is not tailored to the needs of the recipient. All US persons receiving and/or accessing this report and intending to effect transactions in any security discussed herein should do so with HSBC Securities (USA) Inc. in the United States and not with its non-US foreign affiliate, the issuer of this report. HSBC México, S.A., Institución de Banca Múltiple, Grupo Financiero HSBC is authorized and regulated by Secretaría de Hacienda y Crédito Público and Comisión Nacional Bancaria y de Valores (CNBV). In Brazil, this document has been distributed by Banco HSBC SA ("HSBC Brazil"), and/or its affiliates. As required by Resolution No. 20/2021 of the Securities and Exchange Commission of Brazil (Comissão de Valores Mobiliários), potential conflicts of interest concerning (i) HSBC Brazil and/or its affiliates; and (ii) the analyst(s) responsible for authoring this report are stated on the chart above labelled "HSBC & Analyst Disclosures".

If you are a customer of HSBC International Wealth & Premier Banking ("IWPB"), including HSBC Private Bank, you are eligible to receive this publication only if: (i) you have been approved to receive relevant research publications by an applicable HSBC legal entity; (ii) you have agreed to the applicable HSBC entity's terms and conditions and/or customer declaration for accessing research; and (iii) you have agreed to the terms and conditions of any other internet banking, online banking, mobile banking and/or investment services offered by that HSBC entity, through which you will access research publications (collectively with (ii), the "Terms"). If you do not meet the above eligibility requirements, please disregard this publication and, if you are a IWPB customer, please notify your Relationship Manager or call the relevant customer hotline. Distribution of this publication is the sole responsibility of the HSBC entity with whom you have agreed the Terms. Receipt of research publications is strictly subject to the Terms and any other conditions or disclaimers applicable to the provision of the publications that may be advised by IWPB.

Should you wish to use AI technology (computational, statistical, machine-learning or other artificial intelligence techniques to infer or learn from data to find patterns, take actions, make decisions, or generate output) to help you analyse, summarise or evaluate this publication and/or any other research materials provided to you by HSBC, you shall seek HSBC consent in advance of any such use and not upload this publication and/or any other research materials produced by HSBC to an AI system or otherwise use AI technology in connection with the research services HSBC provides to you without our consent.

© Copyright 2026, HSBC Securities (Taiwan) Corporation Limited, ALL RIGHTS RESERVED. No part of this publication may be reproduced, stored in a retrieval system, or transmitted, in any form or by any means, electronic, mechanical, photocopying, recording, or otherwise, without the prior written permission of HSBC Securities (Taiwan) Corporation Limited.

[1286603]